Fifth Plan:

The Plan (1974–79) has its focus on poverty alleviation and self-reliance.[69] The popular rhetoric of poverty alleviation was sensationalised by the Government to the extent of launching a fresh plan i.e the Twenty-point Programme (1975) with a marginal importance being given to the objective of 'growth with stability' (one of the major objectives of the Fourth Plan).

The planning process got more politicised. The havocs of hyper-inflation led the Government to hand over a new function to the Reserve Bank of India to stabilise the inflation (the function which the RBI carries forward even today). A judicious price wage policy was started to check the menace of inflation on the wage-earners. This Plan saw an increase in the socio-economic and regional disparities despite the many institutional, financial and other measures which were initiated by the Government to attend them. The nationalisation policy continued. There was an overall decay in the quality of 'governance'. A nexus of the 'criminal-politician-bureaucrat' seems to emerge for the first time to hijack the political system.[70]

The plan period was badly disturbed by the draconian emergency and a change of the government in the centre. The Janata Party came to power with a thumping victory in 1977. As the government of the time had then complete say in the central planning in India how could the new Government continue with the Fifth Plan of the last Government which had still more than one year to reach its completion. The dramatic events related to Indian planning may be seen objectively as given below:

(i) The Janata Government did cut-short the Fifth Plan one year ahead of its terminal year i.e. by the fiscal 1977–78. in place of the decided 1978–79.

(ii) A fresh Plan, the Sixth Plan for the period 1978–83 was launched by the new Government which called it the **'Rolling Plan'.**[71]

(iii) In 1980, there was again a change of government at the centre with the return of the Congress which abandoned the Sixth Plan of the Janata Government in the year 1980 itself.

(iv) The new Government launched a fresh new **Sixth Plan** for the period 1980–85. But by that time, two financial years of the Janata Government's Sixth Plan had already been completed. These two